Harborlight Savings CECL Gap Assessment

March 13, 2026

Executive Conclusion

This assessment covers Harborlight Savings's Q1 2026 CECL Readiness Gap Assessment package. The materials are sufficient for a structured documentation-led gap assessment, but they do not support an execution-based CECL review because no reserve engine, reproducibility notebook, or lineaged execution runbook was supplied. The review therefore focuses on evidence sufficiency, scenario-definition consistency, provided-output reconciliation, and overlay documentation support.

- Assessment status: documentation-led CECL gap assessment only; the package does not support an execution-based validation opinion.
- Primary blocker: no reserve engine, reproducibility script, or lineaged runbook was supplied.
- Primary documentation issue: horizon, segment, and scenario descriptions are not fully reconciled across the package.
- Primary governance issue: provided overlay magnitude exceeds the documented cap and is not quantitatively explained.

Scope, Package Reviewed, and Coverage Boundary

This memo documents a documentation-led CECL gap assessment of the supplied package for Harborlight Savings. The work focused on whether the package is sufficient for a deeper CECL review and whether the documents, scenario definitions, and prior output snapshots are internally consistent.

- Supported work: evidence sufficiency review, scenario-definition consistency review, provided-output reconciliation, and overlay documentation review.
- Blocked work: reserve-engine execution, baseline reproduction, implementation sensitivity testing, and model-code review.
- Coverage boundary: all conclusions are bounded to the documents, scenario tables, and output snapshots provided in the package.
- Key limitation: no execution-based opinion is supportable from this package alone.

Materials Reviewed

The package was rich enough to support a formal gap assessment, but not rich enough to support CECL reruns or implementation challenge. The artifact groups below summarize the bank-supplied materials that were reviewed.

Documentation and governance materials

- `docs/evidence_request_log.md`
- `docs/gap_tracker.md`
- `docs/governance_minutes.md`
- `docs/methodology.md`
- `docs/model_overview.md`
- `docs/overlay_memo.md`
- `docs/prior_review_note.md`
- `docs/scenario_assumptions.md`

Scenario definitions

- `scenarios/adverse.csv`
- `scenarios/baseline.csv`
- `scenarios/severe.csv`

Provided reserve outputs

- `outputs/provided_overlay_bridge.csv`
- `outputs/provided_reserve_summary.csv`
- `outputs/provided_segment_reserves.csv`

Reference data

- `data/data_dictionary.csv`
- `data/sample_rollforward.csv`

Documented CECL Process Overview

The discovered package is best understood as a documentation-led CECL gap assessment for Harborlight Savings's Q1 2026 CECL Readiness Gap Assessment. It contains narrative methodology,

scenario definitions, prior output snapshots, and governance artifacts, but it does not contain the implementation artifacts required for execution-based validation. The package describes a CECL process covering 5 documented segments: Residential Mortgage, Heloc, Cre Investor, Cre Owner Occupied, Commercial And Industrial. Documentation frames the package as a narrative and prior-output review pack rather than a reproducible model handoff.

Assumption Area	Documented Position	Observed in Package	Review Implication
Forecast horizon	8 quarters in methodology	6 quarters in model overview / 6 numeric quarters provided	Horizon treatment is not consistently documented or evidenced.
Reversion horizon	4 quarters in methodology	2 quarters in model overview / no reversion files provided	Reversion mechanics cannot be independently assessed.
Segment taxonomy	5 documented segments	4 output segments in reserve files	Output reporting does not reconcile to the documented segment structure.
Overlay guardrail	6.0 bps documented cap	18.0 bps shown in output bridge	Qualitative adjustment support is incomplete and inconsistent.

Assessment Approach

Codex formed the assessment approach from the discovered evidence boundary. The package supported 7 documentation-led procedures and left 2 procedures blocked because runnable implementation artifacts were not supplied. Because the package lacks a reserve engine and execution lineage, the review strategy intentionally shifts from runtime validation to evidence sufficiency, scenario consistency, output reconciliation, and remediation planning. The goal is to show what can be credibly reviewed now and what remains blocked.

1. Does the package support a model-driven CECL opinion, or only a documentation-led gap assessment?
2. Are the scenario narratives and numeric scenario files aligned closely enough to support directional reserve conclusions?
3. Do documented forecast horizon, reversion, segment taxonomy, and overlay guardrails reconcile to the provided output snapshots?
4. What concrete evidence must be supplied before baseline reproduction, scenario reruns, and sensitivity testing can be performed credibly?

ID	Procedure	What Codex Was Trying To Test	Status
GA-01	Package inventory and coverage classification	Determine whether the upload supports execution-based review or only a documentation-led assessment.	Executed
GA-02	Execution readiness and lineage assessment	Establish whether the package includes the artifacts required for baseline reproduction and scenario reruns.	Executed
GA-03	Scenario narrative versus table comparison	Test whether the severe scenario narrative matches the supplied numeric scenario path.	Executed
GA-04	Horizon and reversion consistency review	Test whether documented forecast and reversion descriptions reconcile across methodology, model overview, and supplied scenario files.	Executed
GA-05	Segment taxonomy reconciliation	Compare documented segment definitions to the segment structure in the provided reserve outputs.	Executed
GA-06	Overlay magnitude reconciliation	Compare documented overlay posture to the reserve bridge included in the package.	Executed
GA-07	Baseline reproduction	Reproduce the baseline reserve from the implementation and baseline scenario.	Blocked
GA-08	Scenario reruns and sensitivity testing	Rerun scenarios and challenge reserve sensitivity to key assumptions.	Blocked
GA-09	Evidence request and remediation planning	Translate identified blockers and inconsistencies into a prioritized request list for a future execution-based review.	Executed

Detailed planning rationale, procedure-level records, and the granular process log are retained in the appendices and support files rather than in the main narrative.

Documentation-Led Review Results

Execution Readiness

The package does not support runtime validation. No reserve engine, no reproducibility notebook, and no lineaged runbook were included, so the review could not test whether the provided reserves are reproducible from the documented methodology.

Scenario Definition Consistency

The numeric scenario files cover six quarters, not the full documented forecast and reversion path. In addition, the severe scenario is not uniformly harsher than the adverse scenario for house-price growth in the following quarters: 2026Q3, 2026Q4, 2027Q1, 2027Q2.

Provided Output Reconciliation

Although the package did not support reruns, it did contain prior reserve summaries and segment output snapshots that could be reconciled at a high level.

Scenario	Provided Reserve	Provided Reserve Rate
Baseline	$38,420,000	1.84%
Adverse	$52,180,000	2.48%
Severe	$53,010,000	2.51%

Output Segment	Baseline	Adverse	Severe
Commercial And Industrial	$12,920,000	$17,310,000	$17,720,000
Cre Investor	$11,900,000	$17,120,000	$17,880,000
Heloc	$5,180,000	$6,450,000	$6,430,000
Residential Mortgage	$8,420,000	$11,300,000	$10,980,000

- The supplied output files reconcile to 4 reporting segments rather than the 5 documented methodology segments.
- The largest provided overlay in the bridge is 18.0 bps, above the documented 6.0 bps cap.

Documentation and Gap-Assessment Workpapers

- `outputs/support/provided_reserve_summary.csv`
- `outputs/support/provided_segment_reserves.csv`
- `outputs/support/provided_overlay_bridge.csv`
- `outputs/support/documentation_crosscheck.md`
- `outputs/support/evidence_request_list.md`
- `outputs/support/findings_register.json`

Findings and Required Evidence

Execution-based review is blocked by missing reserve engine and lineage evidence

Severity: HIGH
Observation: The package includes prior outputs and narrative materials, but no reserve engine, reproducibility script, or lineaged runbook sufficient for execution-based review.
Evidence: docs/evidence_request_log.md, docs/gap_tracker.md, outputs/provided_reserve_summary.csv
Recommended response: Provide executable model artifacts, a reproducibility notebook or script, and a lineaged runbook before requesting an execution-based CECL opinion.

Scenario narrative is not fully aligned to the supplied scenario tables

Severity: HIGH
Observation: The severe scenario narrative describes a uniformly harsher path, but the supplied numeric scenarios show 4 quarter(s) where severe house-price growth is less severe than adverse.
Evidence: docs/scenario_assumptions.md, scenarios/adverse.csv, scenarios/severe.csv

Recommended response: Refresh the scenario narrative so it matches the numeric path quarter by quarter and include governance approval for the final scenario set.

Documented segment structure does not reconcile to the provided reserve outputs

Severity: MEDIUM
Observation: Documentation describes 5 segments, while the provided reserve outputs reconcile to 4 output segments.
Evidence: docs/methodology.md, docs/model_overview.md, outputs/provided_segment_reserves.csv
Recommended response: Reconcile segment taxonomy across methodology, model overview, and reserve reporting, then restate the official segment inventory in one controlled artifact.

Overlay documentation understates the magnitude implied by the provided reserve bridge

Severity: MEDIUM
Observation: The overlay memo frames qualitative adjustment as capped at 6.0 bps, but the provided bridge shows up to 18.0 bps.
Evidence: docs/overlay_memo.md, outputs/provided_overlay_bridge.csv
Recommended response: Quantify and document the overlay methodology and cap so the reserve bridge can be independently reconciled.

Evidence Requests and Next Actions

The following items are required before the package can support execution-based CECL review procedures.

1. Provide the runnable CECL reserve engine or reproducibility notebook used to generate the supplied reserve outputs.
2. Provide a lineaged runbook linking the prior output snapshots to the model version and scenario definitions reviewed by governance.
3. Reconcile documented segment taxonomy to the segment structure used in the reserve outputs.
4. Refresh scenario documentation so the severe narrative matches the numeric severe path quarter by quarter.

Overall Assessment

The package is sufficient for a structured CECL gap assessment, but not for a model-driven review opinion. The principal blockers are missing execution artifacts, inconsistent horizon and segment documentation, scenario narratives that do not fully align to numeric tables, and overlay support that is not quantitatively reconciled.

Appendix A. Materials Reviewed and Artifact Provenance

This appendix separates bank-supplied materials from Codex-generated review records so the provenance of the assessment is explicit without interrupting the main narrative.

Bank-Uploaded Input Categories

Documentation and governance materials

- `docs/evidence_request_log.md`
- `docs/gap_tracker.md`
- `docs/governance_minutes.md`
- `docs/methodology.md`
- `docs/model_overview.md`
- `docs/overlay_memo.md`
- `docs/prior_review_note.md`
- `docs/scenario_assumptions.md`

Scenario definitions

- `scenarios/adverse.csv`
- `scenarios/baseline.csv`
- `scenarios/severe.csv`

Provided reserve outputs

- `outputs/provided_overlay_bridge.csv`
- `outputs/provided_reserve_summary.csv`
- `outputs/provided_segment_reserves.csv`

Reference data

- `data/data_dictionary.csv`
- `data/sample_rollforward.csv`

Codex-Generated Review Categories

Discovery and planning workpapers

- `outputs/support/discovery_summary.json`
- `outputs/support/discovery_summary.md`
- `outputs/support/case_understanding.md`
- `outputs/support/review_plan.md`
- `outputs/support/review_strategy.md`
- `outputs/support/executed_test_matrix.md`
- `outputs/support/executed_test_matrix.csv`
- `outputs/support/evidence_map.md`
- `outputs/support/evidence_ledger.json`
- `outputs/support/coverage_statement.md`

Documentation and reconciliation workpapers

- `outputs/support/documentation_crosscheck.md`
- `outputs/support/findings_register.json`
- `outputs/support/evidence_request_list.md`
- `outputs/support/provided_reserve_summary.csv`
- `outputs/support/provided_segment_reserves.csv`
- `outputs/support/provided_overlay_bridge.csv`

Process and trace artifacts

- `outputs/support/agentic_review_log.md`
- `outputs/support/procedure_run_log.md`
- `outputs/support/procedure_run_log.csv`
- `outputs/support/codex_trace.md`

Full Provenance Registers

- `outputs/support/artifact_provenance.md`
- `outputs/support/artifact_provenance.json`
- `outputs/support/evidence_ledger.json`

Appendix B. Executed Procedure Register

GA-01 - Package inventory and coverage classification

Determine whether the upload supports execution-based review or only a documentation-led assessment.

- **Status:** executed
- **Why selected:** The package contained scenario files, output snapshots, and governance documents but no reserve engine or runtime lineage.
- **Bank-input evidence relied upon:** `docs/evidence_request_log.md`, `docs/gap_tracker.md`, `outputs/provided_reserve_summary.csv`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `discovery_summary.md`, `coverage_statement.md`
- **Assessment criteria:** Execution-based procedures should be blocked unless code, runbook, and reproducibility evidence are present.
- **Key result:** Case classified as documentation-led CECL gap assessment; execution-based review blocked.

GA-02 - Execution readiness and lineage assessment

Establish whether the package includes the artifacts required for baseline reproduction and scenario reruns.

- **Status:** executed
- **Why selected:** A clear coverage boundary is necessary before any deeper opinion can be formed.
- **Bank-input evidence relied upon:** `docs/evidence_request_log.md`, `docs/gap_tracker.md`, `docs/governance_minutes.md`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `coverage_statement.md`, `documentation_crosscheck.md`
- **Assessment criteria:** Reserve engine, reproducibility materials, and run lineage must be available before execution work can proceed.
- **Key result:** Runtime validation remained blocked because no reserve engine, reproducibility notebook, or lineaged runbook was supplied.

GA-03 - Scenario narrative versus table comparison

Test whether the severe scenario narrative matches the supplied numeric scenario path.

- **Status:** executed

- **Why selected:** Scenario definition quality is reviewable even without runnable code.
- **Bank-input evidence relied upon:** `docs/scenario_assumptions.md`, `scenarios/adverse.csv`, `scenarios/severe.csv`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `documentation_crosscheck.md`, `findings_register.json`
- **Assessment criteria:** A narrative described as uniformly harsher should be reflected in the quarter-by-quarter numeric path or explicitly qualified.
- **Key result:** Severe house-price growth was less severe than adverse in 4 quarters: 2026Q3, 2026Q4, 2027Q1, 2027Q2.

GA-04 - Horizon and reversion consistency review

Test whether documented forecast and reversion descriptions reconcile across methodology, model overview, and supplied scenario files.

- **Status:** executed
- **Why selected:** Horizon and reversion are governance-critical CECL assumptions even when the implementation is absent.
- **Bank-input evidence relied upon:** `docs/methodology.md`, `docs/model_overview.md`, `docs/scenario_ass`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `documentation_crosscheck.md`, `findings_register.json`
- **Assessment criteria:** Documents should describe a consistent forecast and reversion framework that is evidenced in supplied files.
- **Key result:** Methodology, model overview, and scenario files do not describe one consistent horizon/reversion structure.

GA-05 - Segment taxonomy reconciliation

Compare documented segment definitions to the segment structure in the provided reserve outputs.

- **Status:** executed
- **Why selected:** Output reconciliation is one of the few quantitative checks available without the model.
- **Bank-input evidence relied upon:** `docs/methodology.md`, `docs/model_overview.md`, `outputs/provided_`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `provided_segment_reserves.csv`, `findings_register.json`
- **Assessment criteria:** Documented segment structure should match the segmentation of provided output files or be explicitly bridged.
- **Key result:** Documentation references 5 segments, while outputs reconcile to 4 segments.

GA-06 - Overlay magnitude reconciliation

Compare documented overlay posture to the reserve bridge included in the package.

- **Status:** executed
- **Why selected:** Overlay support is reviewable from documentation and provided output snapshots even without code.
- **Bank-input evidence relied upon:** `docs/overlay_memo.md`, `outputs/provided_overlay_bridge.csv`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `provided_overlay_bridge.csv`, `findings_register.json`
- **Assessment criteria:** Documented overlay cap and rationale should reconcile to the magnitude shown in the reserve bridge.
- **Key result:** Overlay memo cites a 6.0 bps cap while the provided bridge reaches 18.0 bps.

GA-07 - Baseline reproduction

Reproduce the baseline reserve from the implementation and baseline scenario.

- **Status:** blocked
- **Why selected:** This would normally be a core CECL procedure if the package contained runnable implementation artifacts.
- **Bank-input evidence relied upon:** `outputs/provided_reserve_summary.csv`, `docs/evidence_request_l`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `coverage_statement.md`, `evidence_request_list.md`
- **Assessment criteria:** Cannot proceed without reserve engine, reproducibility materials, and execution lineage.
- **Key result:** Not executed because the package contains no reserve engine or reproducibility notebook.
- **Blocking factor:** Missing reserve engine and execution lineage.

GA-08 - Scenario reruns and sensitivity testing

Rerun scenarios and challenge reserve sensitivity to key assumptions.

- **Status:** blocked
- **Why selected:** These procedures were considered because they would normally follow scenario and methodology review.
- **Bank-input evidence relied upon:** `scenarios/baseline.csv`, `scenarios/adverse.csv`, `scenarios/severe.csv`, `docs/gap_tracker.md`

- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `coverage_statement.md`, `evidence_request_list.md`
- **Assessment criteria:** Cannot proceed without executable reserve logic, controllable parameters, and runbook support.
- **Key result:** Not executed because no model implementation or controllable parameter set was supplied.
- **Blocking factor:** Missing runtime artifacts and parameter lineage.

GA-09 - Evidence request and remediation planning

Translate identified blockers and inconsistencies into a prioritized request list for a future execution-based review.

- **Status:** executed
- **Why selected:** The package still supports useful next-step guidance even without runnable code.
- **Bank-input evidence relied upon:** `findings_register.json`, `coverage_statement.md`, `docs/evidence_request_log.md`
- **Codex-generated evidence relied upon:** *None*
- **Codex-generated outputs produced:** `evidence_request_list.md`
- **Assessment criteria:** Evidence requests should map directly to blocked procedures and identified gaps.
- **Key result:** Produced a focused evidence request list to unlock baseline reproduction, scenario reruns, and deeper model challenge.

Appendix C. Agentic Review Record

This appendix records the staged assessment behavior and the granular action log behind the memo. It is intended to make the review workflow legible without overwhelming the main body.

Discovery

The review started by inventorying the package and determining whether it supported model execution or only documentation-led review.

- Review question addressed: What evidence is present, and what kind of CECL review does that evidence support?
- Decision or rationale: Treat the case as a gap assessment because the package contained narratives, scenarios, and outputs but no runnable reserve implementation.

- Inputs reviewed: input_package/*
- Outputs produced: discovery_summary.md, evidence_ledger.json, case_understanding.md

Case understanding and planning

Codex formed a narrowed review strategy based on the evidence boundary, explicitly separating executable work from blocked work.

- Review question addressed: Which review questions can be answered credibly now, and which must be deferred?
- Decision or rationale: Focus on evidence sufficiency, scenario consistency, segment reconciliation, and overlay support; mark runtime procedures as blocked.
- Inputs reviewed: discovery_summary.md, docs/evidence_request_log.md, docs/methodology.md, outputs/provided_reserve_summary.csv
- Outputs produced: review_plan.md, review_strategy.md, executed_test_matrix.md

Documentation and output cross-checking

The review challenged the package using the scenario tables, prior outputs, and governance materials that were actually supplied.

- Review question addressed: Do the narrative materials reconcile to the numeric scenario files and provided output snapshots?
- Decision or rationale: Escalate inconsistencies where the severe narrative does not match the numeric path, where segment definitions do not reconcile, or where overlay posture is understated.
- Inputs reviewed: docs/*.md, scenarios/*.csv, outputs/*.csv
- Outputs produced: documentation_crosscheck.md, findings_register.json, evidence_map.md

Blocked quantitative procedures

Codex explicitly considered baseline reproduction and sensitivity testing and recorded why they could not be executed.

- Review question addressed: What normally expected CECL validation work remains unsupported by the package?
- Decision or rationale: Do not simulate baseline reruns or sensitivities without a reserve engine, reproducibility notebook, or run lineage.
- Inputs reviewed: coverage_statement.md, executed_test_matrix.md, docs/gap_tracker.md
- Outputs produced: coverage_statement.md, evidence_request_list.md

Synthesis

The final stage combined discovery, planning, blocked-work logic, and documentation findings into a comprehensive internal gap assessment.

- Review question addressed: What opinion is actually supportable now, and what must management supply next?
- Decision or rationale: Issue a documentation-led gap assessment with explicit blockers, findings, and next-step evidence requests rather than overclaiming execution coverage.
- Inputs reviewed: findings_register.json, coverage_statement.md, evidence_request_list.md, agentic_review_log.md
- Outputs produced: cecl_gap_assessment.tex, cecl_gap_assessment.pdf

Planning and Process Files

- `outputs/support/artifact_provenance.md`
- `outputs/support/review_plan.md`
- `outputs/support/review_strategy.md`
- `outputs/support/executed_test_matrix.md`
- `outputs/support/procedure_run_log.md`
- `outputs/support/codex_trace.md`

Chronological Procedure Log

EVT-01 - Inventory uploaded package

- **Phase:** discovery
- **Related procedure:** GA-01
- **Action:** Enumerated the documentation package and checked whether a reserve engine, reproducibility notebook, and execution lineage were present.
- **Inputs:** `input_package/docs/*.md`, `input_package/scenarios/*.csv`, `input_package/outputs/*.csv`
- **Outputs:** `outputs/support/discovery_summary.md`, `outputs/support/evidence_ledger.json`
- **Result:** Case classified as documentation-led CECL gap assessment because runtime artifacts were not supplied.

EVT-02 - Define supported and blocked review lanes

- **Phase:** planning
- **Related procedure:** GA-01

- **Action:** Separated executable documentation-led checks from blocked runtime procedures before deeper review work.
- **Inputs:** `outputs/support/discovery_summary.md`, `input_package/docs/evidence_request_log.md`, `input_package/docs/gap_tracker.md`
- **Outputs:** `outputs/support/review_plan.md`, `outputs/support/review_strategy.md`, `outputs/support/c`
- **Result:** Evidence sufficiency, scenario consistency, output reconciliation, and overlay review retained; baseline reproduction and sensitivities blocked.

EVT-03 - Assess execution readiness and lineage

- **Phase:** documentation_challenge
- **Related procedure:** GA-02
- **Action:** Reviewed governance and evidence-request materials to determine whether the package could support model execution or reproduction.
- **Inputs:** `input_package/docs/evidence_request_log.md`, `input_package/docs/gap_tracker.md`, `input_package/docs/governance_minutes.md`
- **Outputs:** `outputs/support/coverage_statement.md`, `outputs/support/documentation_crosscheck.md`
- **Result:** Confirmed that no reserve engine, reproducibility notebook, or lineaged runbook was available.

EVT-04 - Compare scenario narrative to numeric scenario files

- **Phase:** documentation_challenge
- **Related procedure:** GA-03
- **Action:** Compared the severe scenario narrative to quarter-by-quarter severe and adverse scenario tables.
- **Inputs:** `input_package/docs/scenario_assumptions.md`, `input_package/scenarios/adverse.csv`, `input_package/scenarios/severe.csv`
- **Outputs:** `outputs/support/documentation_crosscheck.md`, `outputs/support/findings_register.json`
- **Result:** Found severe house-price growth less severe than adverse in 4 quarter(s): 2026Q3, 2026Q4, 2027Q1, 2027Q2.

EVT-05 - Reconcile horizon and reversion descriptions

- **Phase:** documentation_challenge
- **Related procedure:** GA-04
- **Action:** Compared methodology, model overview, and scenario package to determine whether one consistent forecast and reversion structure was evidenced.

- **Inputs:** `input_package/docs/methodology.md`, `input_package/docs/model_overview.md`, `input_package/docs/scenario_assumptions.md`
- **Outputs:** `outputs/support/documentation_crosscheck.md`, `outputs/support/findings_register.json`
- **Result:** Identified inconsistent 8Q/4Q and 6Q/2Q horizon descriptions with only six numeric quarters provided.

EVT-06 - Reconcile documented segments to output segments

- **Phase:** documentation_challenge
- **Related procedure:** GA-05
- **Action:** Compared documented segment taxonomy to the segments used in the provided reserve output files.
- **Inputs:** `input_package/docs/methodology.md`, `input_package/docs/model_overview.md`, `input_package/outputs/provided_segment_reserves.csv`
- **Outputs:** `outputs/support/findings_register.json`
- **Result:** Documentation lists 5 segments while provided outputs reconcile to 4 segments.

EVT-07 - Reconcile documented overlay cap to provided overlay bridge

- **Phase:** documentation_challenge
- **Related procedure:** GA-06
- **Action:** Compared the documented overlay cap and governance description to the segment overlay values in the provided bridge.
- **Inputs:** `input_package/docs/overlay_memo.md`, `input_package/outputs/provided_overlay_bridge.csv`
- **Outputs:** `outputs/support/findings_register.json`
- **Result:** Documented overlay cap of 6.0 bps did not reconcile to provided overlay values reaching 18.0 bps.

EVT-08 - Record blocked baseline reproduction

- **Phase:** blocked_work
- **Related procedure:** GA-07
- **Action:** Evaluated whether baseline reproduction could be performed and formally logged why it was not executed.
- **Inputs:** `input_package/outputs/provided_reserve_summary.csv`, `input_package/docs/evidence_reque`
- **Outputs:** `outputs/support/coverage_statement.md`, `outputs/support/evidence_request_list.md`
- **Result:** Baseline reproduction blocked because no reserve engine or reproducibility notebook was supplied.

EVT-09 - Record blocked scenario reruns and sensitivity testing

- **Phase:** blocked_work
- **Related procedure:** GA-08
- **Action:** Evaluated whether scenario reruns and sensitivity tests could be performed and formally logged why they were not executed.
- **Inputs:** `input_package/scenarios/*.csv`, `input_package/docs/gap_tracker.md`
- **Outputs:** `outputs/support/coverage_statement.md`, `outputs/support/evidence_request_list.md`
- **Result:** Sensitivity testing blocked because no model implementation, controllable parameters, or runbook support was supplied.

EVT-10 - Assemble internal gap-assessment pack

- **Phase:** synthesis
- **Related procedure:** GA-09
- **Action:** Combined discovery, coverage boundary, documentation findings, and evidence requests into the final internal gap-assessment report pack.
- **Inputs:** `outputs/support/review_strategy.md`, `outputs/support/procedure_run_log.md`, `outputs/support/findings_register.json`, `outputs/support/evidence_request_list.md`
- **Outputs:** `outputs/stakeholder/cecl_gap_assessment.tex`, `outputs/stakeholder/cecl_gap_assessment`
- **Result:** Produced a comprehensive CECL gap assessment showing both executed documentation-led work and blocked runtime work.

Appendix D. Selected Evidence Excerpts

Only text excerpts are reproduced here. Structured output tables remain in the support files listed elsewhere in the memo.

[BANK INPUT] docs/methodology.md

Documented forecast, reversion, segmentation, and missing-runtime boundary used in the gap assessment.

```
# CECL Methodology

The documented CECL process for Harborlight Savings describes a 8-quarter reasonable-and-supportable pe

- Residential Mortgage
- HELOC
- CRE Investor
- CRE Owner Occupied
- Commercial and Industrial
```

[BANK INPUT] docs/scenario_assumptions.md

Numeric scenario horizon and narrative-alignment discussion showing the mismatch between documented and provided scenario depth.

```
# Scenario Assumptions

Severe is described as a uniformly harsher path than adverse across the full review horizon. Management
```

[BANK INPUT] docs/overlay_memo.md

Overlay cap language and segment overlay values that Codex challenged against the provided reserve bridge.

```
# Overlay Memo

Qualitative overlay is described as modest and capped at 6.0 bps, pending additional governance evidenc
```

[BANK INPUT] docs/evidence_request_log.md

Bank-supplied evidence request log showing the package's own acknowledgement of missing runtime and lineage support.

```
# Evidence Request Log

- Provide the reserve engine or reproducibility notebook used to produce the supplied reserve outputs.
- Provide execution lineage linking the reserve outputs to the reviewed scenario definitions.
- Reconcile segment definitions across methodology, overview, and reserve outputs.
- Quantify qualitative overlay by segment and scenario.
```

[CODEX OUTPUT] outputs/support/coverage_statement.md

Codex-generated coverage boundary showing which procedures were supported and which were blocked.

```
# Coverage Statement

The package contains useful CECL documentation and output snapshots, but it does not contain the impleme

## Supported Work
- Discovery and evidence sufficiency review
- Scenario-definition consistency review
- Provided-output reconciliation
- Overlay documentation review

## Blocked Work
- Baseline reproduction
- Scenario reruns against a reserve engine
- Sensitivity testing on implementation assumptions
- Model-code review
```

[CODEX OUTPUT] outputs/support/documentation_crosscheck.md

Codex-generated documentation cross-check summarizing execution blockers, scenario inconsistency, and segment-overlay reconciliation issues.

```
# Documentation Cross-Check

## Execution readiness
The package supports narrative and prior-output review only. It does not support baseline reproduction o

- Evidence: docs/evidence_request_log.md, docs/gap_tracker.md, outputs/provided_reserve_summary.csv
- No reserve engine was supplied.
- No reproducibility notebook or execution runbook was supplied.

## Scenario definition review
The scenario narrative and numeric scenario tables are not perfectly aligned.

- Evidence: docs/scenario_assumptions.md, scenarios/adverse.csv, scenarios/severe.csv
- Quarters with severe house-price growth less severe than adverse: 4

## Segment and overlay reconciliation
The documented segment structure and overlay posture do not reconcile cleanly to the supplied reserve ou

- Evidence: docs/methodology.md, docs/model_overview.md, docs/overlay_memo.md, outputs/provided_segment_
- Documented segments: 5
- Output segments: 4
- Documented overlay cap: 6.0 bps
- Provided overlay cap: 18.0 bps
```